

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) FMM — Semester I Examination, 2022-23

Paper No. BCF-113: Business Economics

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. All questions carry equal marks (14 marks each).

Question 1. What are the central problems in an economy? How can those problems be solved in different economic structures? [5+9]

OR

Differentiate between microeconomics and macroeconomics as a discipline. What is the role of price theory? [9+5]

Question 2. Answer the following questions:

(a) Why is a demand curve downward sloping? [7]

(b) Why is an indifference curve downward sloping? [7]

OR

Explain the Revealed Preference Theory. [14]

Question 3. Answer the following questions:

(a) "LAC is an envelope of various SAC curves." Explain. [9]

(b) Why does a short-run average cost curve have a U-shape? [5]

OR

Answer the following questions:

(a) Discuss the modern theory of factor pricing. [8]

(b) Explain the marginal productivity theory of distribution. [6]

Question 4. Discuss consumer equilibrium using Ordinal Utility Theory. Explain whether it provides the same result as Cardinal Utility Analysis. [9+5]

OR

What are the properties of an Isoquant? Derive the producer's equilibrium. [5+9]

Question 5. Among perfect competition and monopoly market structures, which one is more efficient and why? Explain. [14]

OR

Discuss the monopolistic market structure.

[14]